MANAGING ENTERPRISE RISKS AND OPPORTUNITIES GRI 201-2

Management of risks and opportunities remains a fundamental component of the Group's strategic oversight, ensuring the long-term sustainability, resilience, and value creation of the business. In an increasingly complex and volatile operating environment, the Group continues to strengthen its risk management framework to support informed decision-making, safeguard assets, and enable the timely identification and capitalisation of emerging opportunities.

The Group adopts a structured and integrated approach to risk management, embedding risk considerations across all levels of decision-making, from strategic planning to day-to-day operations. This ensures that risks are proactively managed while opportunities are systematically evaluated and leveraged in alignment with the Group's long-term strategic priorities.

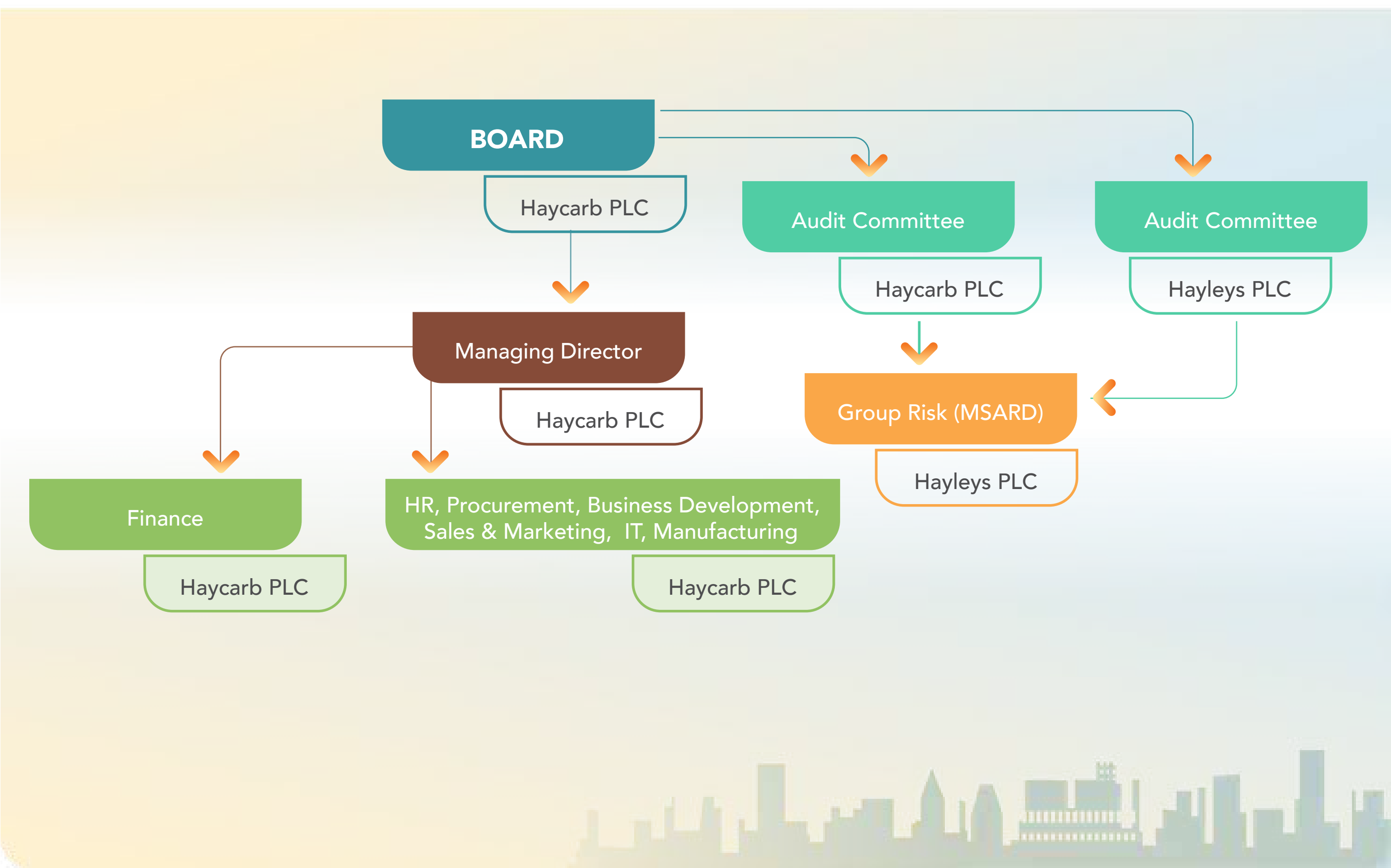
ENTERPRISE RISK GOVERNANCE FRAMEWORK

At Haycarb, ultimate responsibility for risk management rests with the Board of Directors, with risk governance forming a standing agenda item at Board deliberations. The Board is responsible for establishing and maintaining an effective risk management framework, approving key policies, and ensuring that the Group operates within an appropriate risk appetite.

The Audit Committee supports the Board in discharging its oversight responsibilities by undertaking a more detailed review of principal business risks and opportunities. The Committee regularly reviews the effectiveness of the risk management framework, evaluates risk registers, and monitors the evolution of key risks, providing recommendations to the Board where necessary.

The Group's risk management practices are further strengthened through independent oversight by the Management Systems Audit and Review Department (MSARD) of Hayleys PLC. MSARD conducts periodic reviews of risk registers, assesses the adequacy of mitigation measures, and provides and recommendations to Management, the Audit Committees, and the Board.

Risk governance is supported by a clearly defined organisational structure, enabling a coordinated and enterprise-wide approach to risk management.



THREE LINES OF DEFENCE

The Group adopts the internationally recognised three lines of defence model to ensure effective segregation of duties and accountability:

1st Line of Defence	2nd Line of Defence	3rd Line of Defence
First Line of Defence – Business line management is responsible for identifying, assessing, and managing risks within their respective functions, ensuring effective implementation of controls and mitigation strategies.	Second Line of Defence – Managing Director and Senior Management provide oversight, guidance, and coordination of risk management activities, ensuring consistency with Group policies and strategic objectives.	Third Line of Defence – Independent assurance is provided by MSARD, the Audit Committees of Haycarb PLC and Hayleys PLC, and external auditors, ensuring the robustness and effectiveness of the overall risk management framework.

ROLES AND RESPONSIBILITIES

THE BOARD

- Provides overall oversight of risk management
- Establishes the risk management framework and risk appetite
- Approves policies and key risk management strategies
- Reviews risk registers and significant risk exposures
- Ensures adequate allocation of resources for risk management

AUDIT COMMITTEE

- Reviews the effectiveness of the risk management framework
- Evaluates risk registers and monitors risk evolution
- Recommends policies and improvements to the Board
- Assesses adequacy of mitigation measures and internal controls
- Recommends resource allocation for risk management initiatives

OPERATIONAL MANAGEMENT

- Continuously monitors the operating environment and emerging risks and opportunities
- Identifies, measures, and reports risks at functional levels
- Implements approved risk mitigation strategies
- Ensures alignment of operational decisions with the Group's risk framework

MANAGEMENT SYSTEMS AUDIT AND REVIEW DEPARTMENT-HAYLEYS PLC

- Reviews risk registers submitted by Management
- Assesses the adequacy and effectiveness of risk mitigation measures
- Provides independent recommendations for strengthening risk management practices

MANAGING ENTERPRISE RISKS AND OPPORTUNITIES

IDENTIFICATION OF RISKS AND OPPORTUNITIES

During the year under review, the Group continued to operate within a dynamic global environment characterised by supply chain disruptions, evolving regulatory frameworks, climate-related uncertainties and shifting geopolitical dynamics. Raw material procurement remained a critical area of focus amidst increasing supply volatility and pricing pressures across key sourcing regions. Geopolitical developments and changes in global trade policies further contributed to heightened uncertainty across international markets and supply chains.

At the same time, advancements in digital technologies continued to support enhanced operational efficiency, data-driven decision-making and improved customer engagement across the Group's global operations. Macroeconomic conditions, including the global growth outlook and interest rate movements, also continued to influence market demand and capital allocation decisions, necessitating a balanced, agile and forward-looking approach to risk management and strategic execution.

RISK MANAGEMENT PROCESS

The Group adopts a formal and structured risk management process.

Senior Management is responsible for identifying and assessing risks relevant to their respective functions and maintaining updated risk registers. These registers are reviewed on a quarterly basis to ensure that emerging risks are promptly identified and existing risks are continuously monitored.

Risks are evaluated through a qualitative and, where applicable, quantitative assessment framework considering their potential impact on:

- Access to finance
- Cost of capital
- Financial position
- Cash flows
- Operational performance

The Group places emphasis on understanding interdependencies among risks, enabling a more holistic and integrated approach to risk management.

Following the identification and assessment of risks, appropriate mitigation strategies are developed and implemented. The effectiveness of these strategies is continuously monitored, and residual risk levels are evaluated to ensure alignment with the Group's risk appetite.

Key risks and developments are regularly reported to the Audit Committee and the Board of Directors, ensuring transparency and informed decision-making at the highest level.

The overall risk management process is coordinated by the Finance function, ensuring consistency, discipline, and integration across the Group, while increasing use of digital tools continues to enhance the timeliness and accuracy of risk monitoring and reporting.

INTEGRATING RISK WITH STRATEGY AND VALUE CREATION

Risk management at Haycarb is closely aligned with strategic planning and capital allocation processes. By embedding risk considerations into decision-making, the Group ensures that strategic initiatives are pursued with a clear understanding of associated risks and potential returns.

This integrated approach enables the Group to not only mitigate downside risks but also proactively identify and capitalise on opportunities arising from market developments, technological advancements, and evolving customer needs.

Through continuous enhancement of its risk management framework, the Group remains well-positioned to navigate uncertainty, strengthen resilience, and sustain long-term value creation for all stakeholders.

IDENTIFY

Emerging and existing risks are identified through strategic planning, operational reviews, stakeholder engagement, environmental scanning and assessment of the external business landscape.

MEASURE

Identified risks are evaluated based on their likelihood, potential impact, velocity and implications for strategy, operations, financial performance and value creation.

MANAGE

Appropriate mitigation strategies, controls and action plans are implemented to manage risks within approved risk appetite and strengthen organisational resilience.

MONITOR & REPORT

Risk exposures, mitigation effectiveness and emerging developments are continuously monitored and regularly reported to management and the Board for oversight.

BUSINESS RISK PRIORITISATION CRITERIA

The Group applies the following impact and likelihood thresholds when assessing and prioritising business risks across the relevant time horizons.

Impact Rating

Impact rating	Metric	Threshold definition
High	Revenue / PBT	PBT: more than 15% adverse impact.
	Employee turnover	More than 20% turnover or loss of critical technical / operational capability affecting continuity.
	Loss of customers	Threatened or actual loss of 10% of strategic customers.
	Reputation damage	Negative media coverage persisting for more than 6 months.
Medium	Revenue / PBT	PBT: 10% to 15% adverse impact.
	Employee turnover	15% to 20% turnover, or difficulty filling critical operational / technical roles.
	Loss of customers	Threatened or actual loss of 5% to 10% of strategic customers.
	Reputation damage	Negative media coverage persisting for 3 to 6 months.
Low	Revenue / PBT	PBT: 3% to 10% adverse impact.
	Employee turnover	10% to 15% turnover or localised skill gaps.
	Loss of customers	Threatened or actual loss of 2% to 5% of strategic customers.
	Reputation damage	Negative media coverage persisting for 1 to 3 months.
Very Low	Revenue / PBT	PBT: less than 3% adverse impact.
	Employee turnover	Less than 10% turnover.
	Loss of customers	Threatened or actual loss of less than 2% of strategic customers.
	Reputation damage	Negative media coverage persisting for less than 1 month.

Likelihood rating

Likelihood rating	Threshold definition
High	Approximately 60% or greater chance of occurring in the relevant time horizon.
Medium	Approximately 30% to 60% chance of occurring in the relevant time horizon.
Low	Less than 30% chance of occurring in the relevant time horizon.
Very Low	Very low probability of occurrence in the relevant time horizon.

CONNECTIVITY BETWEEN PRINCIPAL BUSINESS RISKS (PBR) AND SLFRS S1 & S2 DISCLOSURES

The Group's principal business risks presented under "Managing Risks & Opportunities" represent the broader enterprise risks and strategic uncertainties that may affect Haycarb's long-term value creation. In line with the Group's evolving sustainability and climate-related disclosure framework under SLFRS S1 and SLFRS S2, selected risks and opportunities were further evaluated through financial materiality, climate resilience and sustainability lenses.

This assessment resulted in the identification of four(4) Climate-Related Risks and Opportunities ("CRROs") and three (3) Sustainability-Related Risks and Opportunities ("SRROs") considered most relevant to the Group's business model, strategy, operational resilience and long-term financial performance.

Several CRROs and SRROs are directly connected to the Group's principal business risks. While the enterprise risk section provides a strategic overview of these matters, the SLFRS S1 and S2 disclosures provide deeper insights into their financial effects, value chain implications, resilience considerations, scenario analysis and related management responses across the short, medium and long term.

This integrated approach enhances connectivity between strategy, risk management, sustainability-related financial disclosures and long-term value creation. The business risks identified through the assessment of impact materiality and likelihood are presented below, together with their linkages to Sustainability-Related Risks and Opportunities (SRROs) and Climate-Related Risks and Opportunities (CRROs) disclosed in accordance with IFRS S1 and IFRS S2.

Business Risk	Link to SRROs and CRROs	Threshold definition
PBR1 Raw Material Procurement	CRRO 1 – Climate Risk to Raw Material Supply	Climate-sensitive coconut shell and charcoal supply
PBR 2 Interest Rate Risk	Cross-cutting Financial Resilience Consideration	Funding resilience and strategic investment capacity
PBR 3 Compliance Risk	SRRO 1 – Environmental & Regulatory Compliance Risk	Environmental and regulatory compliance exposure
PBR 4 Geopolitical Dynamics	CRRO 3 – Renewable Energy Transition Opportunity	Supply chain, energy transition and market demand impacts
PBR 5 Cyber Security Risk	Cross-cutting Digital Resilience Consideration	Digital resilience, governance and operational continuity

PRINCIPAL BUSINESS RISKS -PBR

PBR 1 - RAW MATERIAL PROCUREMENT

Overview

The availability and pricing of coconut shell-based charcoal, the Group's primary raw material, continued to remain a key area of strategic focus during the year. Increasing competition for biomass resources and impact from adverse weather conditions, fluctuations in coconut crop yields (refer CRRO 1) and supply-side constraints across sourcing regions continued to create pressure on procurement activities and input costs. These developments posed challenges in securing adequate quantities of raw material required to support uninterrupted manufacturing operations across the Group's global footprint.

Mitigation Strategies

» Strengthened procurement coordination with suppliers across manufacturing locations in Sri Lanka, Indonesia and Thailand and other key charcoal sourcing regions of India, Philippines and Vietnam to support continuity of supply.

» Further enhanced regional raw material procurement teams to deepen supplier engagement and expand supplier networks.

» Progressing backward integration initiatives in Indonesia and enhancement of coconut shell collection centers in Sri Lanka other manufacturing locations.

» Continued investments to establish and strengthen supplier ecosystems surrounding the Group's new manufacturing facility in the Philippines.

» Expanded research and development initiatives relating to the use of alternative raw materials for selected applications and markets.

Post-Mitigation Impact on Financial Performance, Position and Cash Flows

Disruptions relating to raw material availability and pricing.

Time horizon	Indicative financial impact
ST (2026/27)	Incremental raw material cost increase of about LKR 5.5–8.3Bn
MT (2027/28–2029/30)	Incremental raw material cost increase of about LKR 14.3–22.8 BN compared to current year
LT (beyond 2029/30)	Incremental raw material cost increase of about LKR 29.2–43.9 BN compared to current year

Link to Strategy	Capitals Impacted	Material Topics
Market Growth , Innovation led Growth , Strengthen global supply chain ,Purpose driven and committed teams , ESG Mindset	Financial, Natural, Social and Relationship	M1 Materials M4 Product Quality

PBR 2 -INTEREST RATE RISK

Overview
Volatility in global and domestic interest rate environments may lead to increased borrowing costs and higher finance expenses, thereby impacting profitability and cash flow management.

Mitigation Strategies
- Continuously monitored interest rate trends to optimise the balance between fixed and variable rate borrowings.
- Engaged proactively with financial institutions to negotiate competitive funding terms.
- Maintained diversified funding relationships across multiple banking partners.
- Continued to pursue concessionary and sustainability-linked funding opportunities where appropriate.

Post-Mitigation Impact on Financial Performance, Position and Cash Flows
Exposure to increase in interest rates.

Time horizon	Indicative financial impact
ST (2026/27)	PBT impact of 8% , if interest rate increase by 5% per annum
MT (2027/28–2029/30)	PBT impact of 5% , if interest rate increase by 5% per annum
LT (beyond 2029/30)	PBT impact of 4.2% if interest rate increase by 5% per annum

Link to Strategy	Capitals Impacted	Material Topics
Market Growth , Innovation led Growth , Strengthen global supply chain	Financial Capital	M5 Economic performance M7 Geopolitical Dynamics

PBR 3 - COMPLIANCE RISK

Overview
The increasingly complex and evolving regulatory landscape across jurisdictions (refer SRRO 1) in which the Group operates may elevate the risk of non-compliance, potentially resulting in financial penalties, reputational impacts and legal exposures.

Mitigation Strategies
- Continued strengthening compliance processes to ensure adherence to applicable laws and regulations across all operating jurisdictions.
- Maintained ongoing monitoring of regulatory developments and emerging compliance requirements.
- Conducted regular awareness programmes and training initiatives for relevant employees across the Group.
- Quarterly risk assessments and compliance reviews were undertaken by the Board and Audit Committee.
- Internal audit reviews were carried out across operations to assess the effectiveness of compliance controls and governance practices.

Post-Mitigation Impact on Financial Performance, Position and Cash Flows
Financial penalties, reputational impacts and legal exposures

The impact has been assessed as High considering the potential operational, reputational, regulatory and strategic consequences associated with non-compliance across multiple jurisdictions, notwithstanding the difficulty in precisely quantifying the potential financial effect.

Link to Strategy	Capitals Impacted	Material Topics
Market Growth , Innovation led Growth , Strengthen global supply chain ,Purpose driven and committed teams , ESG Mindset	Financial	M2 : Regulations and Compliance M12 : Environmental Impacts in Supply Chain M16 : Water Discharge and Effluent

PBR 4 - GEOPOLITICAL DYNAMICS

Overview

Escalating geopolitical uncertainties, evolving trade policies, potential sanctions, with possible supply chain disruptions energy market disruption and exchange rate volatility (refer CRRO 1 & CRRO 3) may adversely impact global business operations and financial performance.

Mitigation Strategies

- Maintained geographical diversification across manufacturing operations, sourcing networks and end markets.
- Continued proactive business resilience planning and crisis management initiatives.
- Closely monitored geopolitical developments and assessed their potential implications on operations and markets.
- Strengthened insurance coverage where considered necessary to support risk mitigation efforts.

Post-Mitigation Impact on Financial Performance, Position and Cash Flows

Geopolitical tensions, trade restrictions or international conflicts resulting in temporary disruption of export sales .

Time horizon	Indicative financial impact
ST (2026/27)	PBT impact of 3% to 5% on a severe incident
MT (2027/28–2029/30)	PBT impact of 3% to 5% on a severe incident
LT (beyond 2029/30)	PBT impact of 3% to 5% on a severe incident

Link to Strategy	Capitals Impacted	Material Topics
Market Growth, Strengthen global supply chain	Financial , Social and Relationship	M18 : Market Presence M7 : Geopolitical Dynamics M4 : Materials

PBR 5 - CYBER SECURITY

Overview

Increasing cybersecurity threats and evolving digital risks may adversely impact the confidentiality, integrity and availability of the Group's information systems and digital assets.

Mitigation Strategies

» Periodically reviewed and strengthened the Group's IT governance framework, including Information Security Policies and related procedures.

» Conducted regular risk assessments and vulnerability evaluations with support from both internal teams and independent external specialists to safeguard internal digital infrastructure and assets and externally hosted corporate platforms and websites.

» Continued awareness and communication programmes across the Group to reinforce cybersecurity responsibilities and policy compliance.

» Ensured timely implementation of critical security updates, software patches and firmware upgrades across systems.

» Maintained structured data backup procedures with secure off-site storage arrangements aligned with information security protocols.

» Continued real-time monitoring capabilities to facilitate early detection and response to cybersecurity incidents.

Post-Mitigation Impact on Financial Performance, Position and Cash Flows

Significant disruptions to critical operational systems impacting operations, customer service etc. resulting in temporary revenue losses.

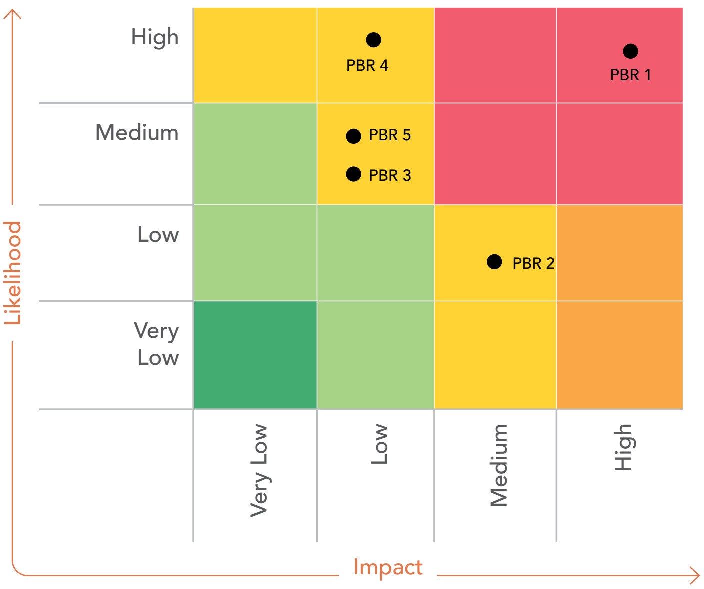
Time horizon	Indicative financial impact
ST (2026/27)	3% to 5% of PBT on a severe impact
MT (2027/28–2029/30)	3% to 5% of PBT on a severe impact
LT (beyond 2029/30)	3% to 5% of PBT on a severe impact

Link to Strategy	Capitals Impacted	Material Topics
Market Growth, Innovation led Growth , Strengthen global supply chain, Purpose driven and committed teams, ESG Mindset	Digital Capital, Financial Capital	M13: Cyber Security

MANAGING ENTERPRISE RISKS AND OPPORTUNITIES

Prioritisation of Principal Business Risks

Code	Impact	Likelihood	Summary rationale
PBR 1	High	High	Direct dependency on coconut shell and charcoal for production continuity, margins and revenue.
PBR 2	Medium	Low	The Group increased its borrowings to finance working capital and strategic expansions
PBR 3	Low	Medium	The Group operates across eleven jurisdictions, exposing it to diverse legal, regulatory, tax, compliance, geopolitical and operational environments.
PBR 4	Low	High	The Group's extensive involvement in international trade exposes it to geopolitical tensions, trade restrictions, shipping disruptions, sanctions, tariff changes
PBR	Low	Medium	The Group's increasing reliance on information technology systems, digital platforms, automation and Internet of Things (IoT)



Risk assessments were conducted across all time horizons; this figure shows long-term risk ratings only.